

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 563

BY BUSINESS COMMITTEE

AN ACT

RELATING TO CERTIFIED PUBLIC ACCOUNTANTS; AMENDING SECTION 54-204, IDAHO CODE, TO REVISE A PROVISION REGARDING THE POWERS AND DUTIES OF THE IDAHO STATE BOARD OF ACCOUNTANCY; AMENDING SECTION 54-207, IDAHO CODE, TO REVISE PROVISIONS REGARDING EDUCATIONAL REQUIREMENTS FOR A CERTIFIED PUBLIC ACCOUNTANT; AMENDING SECTION 54-208, IDAHO CODE, TO REVISE PROVISIONS REGARDING QUALIFICATIONS FOR A CERTIFIED PUBLIC ACCOUNTANT; AMENDING SECTION 54-209, IDAHO CODE, TO REVISE PROVISIONS REGARDING EXPERIENCE REQUIRED FOR A CERTIFIED PUBLIC ACCOUNTANT; REPEALING SECTION 54-227, IDAHO CODE, RELATING TO SUBSTANTIAL EQUIVALENCY REQUIREMENTS FOR A CERTIFIED PUBLIC ACCOUNTANT; AMENDING CHAPTER 2, TITLE 54, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 54-227, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING PRACTICE PRIVILEGES OF CERTAIN CERTIFIED PUBLIC ACCOUNTANTS LICENSED IN ANOTHER STATE AND TO PROVIDE AN EXCEPTION; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 54-204, Idaho Code, be, and the same is hereby amended to read as follows:

54-204. POWERS AND DUTIES. The Idaho state board of accountancy, in addition to the other powers and duties set forth in this chapter, shall have the following powers and duties:

(1) To adopt and amend rules, subject to legislative approval, in accordance with the provisions of the administrative procedure act, chapter 52, title 67, Idaho Code, governing its administration and the enforcement of this chapter and the conduct of licensees including, but not limited to:

(a) Rules governing the board's meetings and the conduct of its business;

(b) Rules of procedure governing the conduct of investigations and hearings by the board;

(c) Rules specifying the education, examination and experience qualifications required for the issuance of certificates, and the continuing professional education required for renewal of licenses;

(d) Rules of professional conduct directed to controlling the quality and probity of professional services by licensees, and dealing among other things with independence, integrity and objectivity; competence and technical standards; responsibilities to the public; and responsibilities to clients;

(e) Rules governing the professional standards applicable to licensees;

(f) Rules governing the manner and circumstances of use of the titles "certified public accountant" and "licensed public accountant";

1 (g) Rules regarding peer reviews that may be required to be performed
2 under the provisions of this chapter;

3 (h) Rules on reciprocity and substantial equivalency to implement the
4 provisions of section 54-227 54-210, Idaho Code;

5 (i) Rules adopting statements on standards as specified in section
6 54-206, Idaho Code, which, if the board may deem appropriate, shall
7 be those standards developed for general application by recognized
8 accountancy organizations such as the AICPA, as such statements are
9 established from time to time; and

10 (j) Such other rules as the board may deem necessary or appropriate to
11 implement or administer the provisions and purposes of this chapter.

12 (2) To issue original certificates of qualification and licenses to
13 practice as certified public accountants to such applicants as may be quali-
14 fied by reciprocity, transfer of examination grades or by examination.

15 (3) To charge and collect from all applicants, certificate holders, and
16 licensees such fees as are provided by this chapter and prescribed by rules
17 of the board.

18 (4) To initiate or receive complaints, cause the same to be investi-
19 gated, initiate proceedings, and conduct hearings or proceedings pursuant
20 to chapter 2, title 54, Idaho Code. The board may designate a member, or any
21 other person of appropriate competence, to serve as investigating officer to
22 conduct an investigation. Upon completion of an investigation, the investi-
23 gating officer shall file a report with the board. Unless dismissed by the
24 board as unfounded or trivial, the board may proceed with disciplinary pro-
25 ceedings or may return the report to the investigating officer for further
26 investigation.

27 (a) In order to protect the interests of a complainant, witness, third
28 party or defendant, the board may upon application and for good cause
29 shown, issue a protective order, consistent with chapter 1, title 74,
30 Idaho Code, prohibiting the disclosure of specific information other-
31 wise not privileged and confidential and direct that the proceedings be
32 conducted so as to implement the order.

33 (b) In carrying into effect the provisions of this chapter, the board
34 may subpoena witnesses and compel their attendance, and also may re-
35 quire the submission of books, papers, documents or other pertinent
36 data; may administer oaths; may take testimony; may cooperate with the
37 appropriate authorities in other states in investigation and enforce-
38 ment concerning violations of this chapter and comparable acts of other
39 states; and may receive evidence in any disciplinary matters or in any
40 case wherever a violation of the provisions of this chapter is alleged.
41 Upon failure or refusal to comply with any such order of the board, or
42 upon failure to honor its subpoena, the board may apply to the court in
43 the district where the witness resides to enforce compliance.

44 (5) To authorize by written agreement the division of occupational and
45 professional licenses as agent to act in its interest.

46 (6) Any action, claim or demand to recover money damages from the board
47 or its employees which any person is legally entitled to recover as compensa-
48 tion for the negligent or otherwise wrongful act or omission of the board or
49 its employees, when acting within the course and scope of their employment,
50 shall be governed by the Idaho tort claims act, chapter 9, title 6, Idaho

Code. For purposes of this subsection, the term "employees" shall include special assignment members of the board and other independent contractors while acting within the course and scope of their board related work.

(7) All hearings, investigations or proceedings conducted by the board shall be conducted in conformity with chapter 52, title 67, Idaho Code, and rules of the board adopted pursuant thereto, and, unless otherwise requested by the concerned party, be subject to disclosure according to chapter 1, title 74, Idaho Code.

SECTION 2. That Section 54-207, Idaho Code, be, and the same is hereby amended to read as follows:

54-207. LICENSE -- APPLICATION. (1) Any person desiring a certificate and license shall make a written application for such certificate and license to the board, upon forms to be prescribed and furnished by the board. Such application shall be filed and shall be accompanied by such fee as may be required by rules of the board.

(2) In addition to meeting the qualifications provided elsewhere in this chapter, before a certificate and license may be issued, a person desiring to receive a certificate and license shall have satisfactorily completed ~~a minimum of one hundred fifty (150) semester hours, or two hundred twenty-five (225) quarter hours, of college education, with a concentration in accounting, auditing and business, including a baccalaureate or higher degree at a college or university acceptable to the board, as established by rule. Satisfactory evidence in the form of an official transcript received directly from the school registrar indicating the credits and degree received shall be presented to the board to demonstrate successful completion of these education requirements.~~ one of the following educational pathways:

~~(3) The board may adopt rules allowing persons who met the education requirements of section 54-208, Idaho Code, when they first sat for the examination to become licensed even though they do not meet the education requirements of this section.~~

(a) A postbaccalaureate degree conferred by a college or university acceptable to the board, in an educational program that includes an accounting concentration or equivalent, as specified in subsection (3) of this section;

(b) A baccalaureate degree plus an additional thirty (30) semester credit hours, conferred by a college or university acceptable to the board, in an educational program that includes an accounting concentration or equivalent as specified in subsection (3) of this section; or

(c) A baccalaureate degree conferred by a college or university acceptable to the board, in an education program that includes an accounting concentration or equivalent as specified in subsection (3) of this section.

(3) An applicant's education shall be deemed to meet the requirements of subsection (2) of this section if it meets one (1) of the following conditions:

(a) The applicant has earned a graduate degree with a concentration in accounting from a program that is accredited in accounting by an accrediting agency approved by the board;

(b) The applicant has earned a graduate degree from a program that is accredited in business by an accrediting agency approved by the board that includes completion of at least twenty-four (24) semester hours in accounting, excluding introductory courses, at the undergraduate level or fifteen (15) semester hours at the graduate level, or an equivalent combination thereof satisfactory to the board, including coverage of, but not necessarily separate courses in, the subjects of data analytics, financial accounting, auditing, taxation, and management accounting; or

(c) The applicant has earned a baccalaureate degree at an institution approved by the board or from a program that is accredited in business by an accrediting agency approved by the board, including completion of at least twenty-four (24) semester hours in business, other than accounting courses, and twenty-four (24) semester hours or an equivalent combination thereof satisfactory to the board in accounting, excluding introductory courses, that included coverage of, but not necessarily separate courses in, the subjects of data analytics, financial accounting, auditing, taxation, and management accounting.

(4) Satisfactory evidence in the form of an official transcript received directly from the school registrar indicating the credits and degree received shall be presented to the board to demonstrate successful completion of one (1) of the educational pathways identified in subsection (2) of this section.

SECTION 3. That Section 54-208, Idaho Code, be, and the same is hereby amended to read as follows:

54-208. EXAMINATION -- EDUCATION -- QUALIFICATIONS. (1) An applicant for admission to examination as a certified public accountant shall:

(a) Be eighteen (18) years of age or older;

(b) Be of good character;

~~(c) Be a resident, have been a resident, or intend to immediately become a resident of the state of Idaho;~~

~~(d)~~ (c) Be approved by the board for admission to the examination; and

~~(e)~~ (d) Provide satisfactory evidence in the form of an official transcript received directly from the school registrar indicating successful completion of a baccalaureate degree or its equivalent, the required credits and courses to be prescribed by the rules of the board. satisfaction of at least one (1) of the educational requirements set forth in section 54-207, Idaho Code.

(2) The examination required to be passed as a condition to granting a certificate shall test the applicant's knowledge of the subjects of accounting and auditing, and such other related subjects as the board may specify by rule, including, but not limited to, business law and taxation. The time for holding such examination shall be determined by the board and may be changed from time to time. The board shall prescribe by rule the methods of applying for and conducting the examination, including methods for grading and determining a passing grade required of an applicant for a certificate; provided however, that the board shall endeavor to assure that the examination itself, grading of the examination, and the passing grades, are uniform with those of other states. The board may make use of all or any part of the uni-

1 form certified public accountant examination and advisory grading service
 2 of the AICPA and may contract with third parties to perform such administra-
 3 tive services with respect to the examination as it deems appropriate to as-
 4 sist it in performing its duties hereunder.

5 (3) The board may charge, or provide for a third party administering the
 6 examination to charge, each applicant a fee, in an amount prescribed by the
 7 board by rule.

8 (4) None of the education requirements specified in this section shall
 9 apply to an applicant who is a licensed public accountant pursuant to this
 10 chapter.

11 SECTION 4. That Section 54-209, Idaho Code, be, and the same is hereby
 12 amended to read as follows:

13 54-209. EXPERIENCE. (1) An applicant of good character who success-
 14 fully passes the examination, with standards no less than those prescribed
 15 by the board's rules for examination of candidates in Idaho, and who fulfills
 16 the requirements of section 54-207, Idaho Code, shall receive a license as
 17 a certified public accountant if the applicant has completed ~~one (1) year of~~
 18 experience. the applicable experience requirement as follows:

19 (a) An applicant for initial issuance of a certificate under section
 20 54-207(2) (a) or (b), Idaho Code, shall show that the applicant has had
 21 one (1) year of experience as described in subsection (2) of this sec-
 22 tion.

23 (b) An applicant for initial issuance of a certificate under section
 24 54-207(2) (c), Idaho Code, shall show that the applicant has had two (2)
 25 years of experience as described in subsection (2) of this section.

26 (2) This The required experience shall include providing any type of
 27 service or advice involving the use of accounting, attest, compilation, man-
 28 agement advisory, financial advisory, tax or consulting skills, all of which
 29 have been performed under the supervision of and verified by an active li-
 30 censee, meeting requirements prescribed by the board by rule. This experi-
 31 ence may be gained through employment in government, industry, academia or
 32 public practice.

33 SECTION 5. That Section 54-227, Idaho Code, be, and the same is hereby
 34 repealed.

35 SECTION 6. That Chapter 2, Title 54, Idaho Code, be, and the same is
 36 hereby amended by the addition thereto of a NEW SECTION, to be known and des-
 37 ignated as Section 54-227, Idaho Code, and to read as follows:

38 54-227. PRACTICE PRIVILEGES. (1) An individual whose principal place
 39 of business is not in the state of Idaho and who holds a valid active license
 40 in good standing as a certified public accountant from any other state shall
 41 have all the practice privileges of licensees of this state without the need
 42 to obtain a license under this chapter, provided that such individual meets
 43 the minimum educational and experience requirements set forth in sections
 44 54-207 and 54-209, Idaho Code.

45 (2) Notwithstanding any other provision of law, an individual identi-
 46 fied in subsection (1) of this section who offers or renders professional

1 services, whether in person, by mail, telephone, or electronic means, or in
2 any other way, by this section is granted practice privileges in this state,
3 and no notice or other submission shall be required of any such individual.

4 (3) An individual licensed in another state who exercises the practice
5 privilege afforded under this section and the firm that employs that li-
6 censee are deemed to simultaneously consent, as a condition of the grant of
7 this privilege:

8 (a) To the personal and subject matter jurisdiction and disciplinary
9 authority of the board;

10 (b) To comply with the provisions of this chapter and applicable board
11 rules;

12 (c) That in the event the license from the state of the individual's
13 principal place of business is no longer valid, the individual will
14 cease offering or rendering professional services in this state indi-
15 vidually and on behalf of a firm; and

16 (d) To the appointment of the state board that issued the individual's
17 license as the agent upon whom process may be served in any action or
18 proceeding by the Idaho board against the licensee.

19 (4) An individual whose principal place of business is not in this state
20 and who, as of December 31, 2024, held and continues to hold a valid active
21 license as a certified public accountant from any state and has practice
22 privileges in this state pursuant to section 54-227, Idaho Code, as that
23 section existed on December 31, 2024, shall continue to have all the privi-
24 leges of a licensee in this state without the need to obtain a license under
25 sections 54-207 and 54-209, Idaho Code.

26 SECTION 7. An emergency existing therefor, which emergency is hereby
27 declared to exist, this act shall be in full force and effect on and after
28 July 1, 2026.